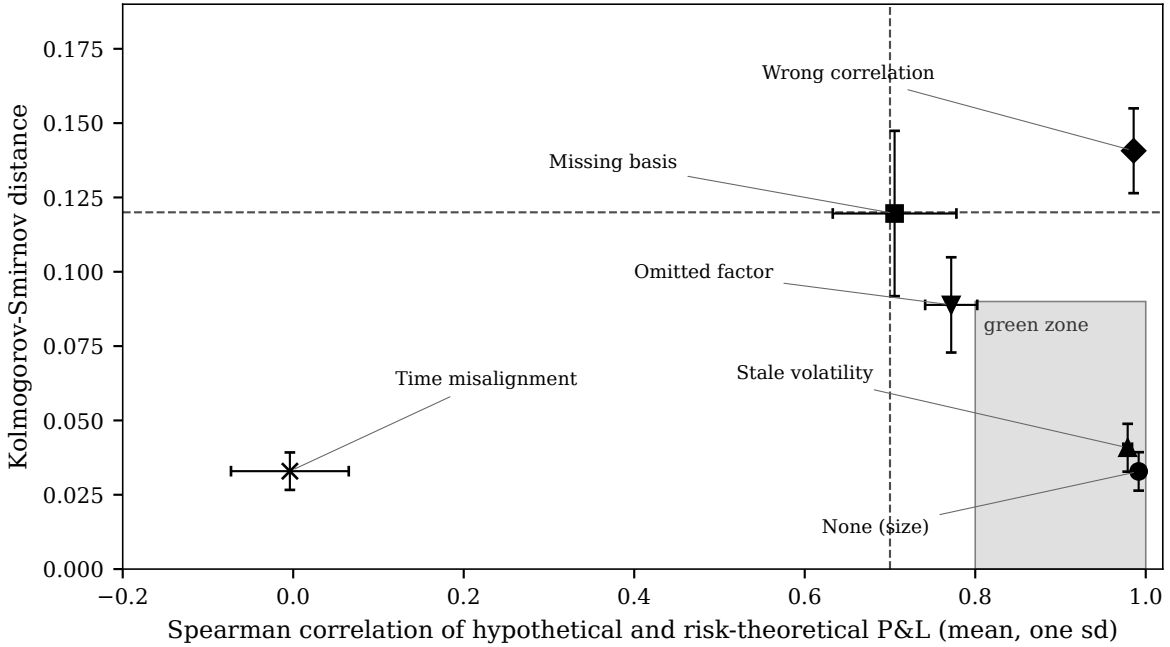
Wrong correlation
Missing basis
Omitted factor
green zone
Time misalignment
Stale volatility
None (size)
Kolmogorov-Smirnov distance
Spearman correlation of hypothetical and risk-theoretical P&L (mean, one sd)
0.175
0.150
0.125
0.100
0.075
0.050
0.025
0.000
−0.2
0.0
0.2
0.4
0.6
0.8
1.0